Draft Red Herring Prospectus (DRHP)



Every company, in the process of IPO, has to publish a DRHP. It is a very detailed document about 400-500 pages about the company.DRHP contains data about the company's business, its past financials, its industry, risk factors, utilization of funds, management, and so much more in a very detailed manner. For old companies, we will look at recent IPOs in the same industry and see the health of the industry. DRHP is the most detailed document submitted by the company ever.

C M Y K

RED HERRING PROSPECTUS
Dated September 5, 2011
Please read section 60B of the Companies Act, 1956
Book Building Offer

OIL AND NATURAL GAS CORPORATION LIMITED

Our Company was incorporated in New Delhi on June 23, 1993 under the Companies Act, 1956 (the "**Companies Act**") as Oil and Natural Gas Corporation Limited and was granted the certificate of commencement of business on August 10, 1993.
Registered Office: Tower II, Jeevan Bharati Building, 124, Indira Chowk, New Delhi 110 001, India; **Telephone:** +91 (11) 2331 0156; **Facsimile:** +91 (11) 2331 6413
Corporate Office: Tel Bhavan, Dehradun 248 003, India; **Telephone:** +91(135) 275 1011; **Facsimile:** +91 (135) 275 5298
Company Secretary and Compliance Officer: Mr. N.K.Sinha; **Telephone:** +91 (11) 2331 0878; **Facsimile:** +91 (11) 2331 6413;
E-mail: fpo2011@ongc.co.in; **Website:** www.ongcindia.com.

PROMOTER: PRESIDENT OF INDIA, ACTING THROUGH THE MINISTRY OF PETROLEUM AND NATURAL GAS ("MoPNG"), GOVERNMENT OF INDIA

FURTHER PUBLIC OFFER OF 427,774,504 EQUITY SHARES OF ₹ 5 EACH ("EQUITY SHARES") OF OIL AND NATURAL GAS CORPORATION LIMITED ("ONGC" OR "OUR COMPANY") THROUGH AN OFFER FOR SALE BY THE PRESIDENT OF INDIA, ACTING THROUGH THE MoPNG, GOVERNMENT OF INDIA (THE "SELLING SHAREHOLDER") FOR CASH AT A PRICE OF ₹ [●]* PER EQUITY SHARE AGGREGATING UP TO ₹ [●] MILLION (THE "OFFER"). THE OFFER COMPRISES A NET OFFER TO PUBLIC OF 419,221,336 EQUITY SHARES (THE "NET OFFER") AND A RESERVATION OF 8,553,168 EQUITY SHARES FOR SUBSCRIPTION BY ELIGIBLE EMPLOYEES (THE "EMPLOYEE RESERVATION PORTION"). THE OFFER SHALL CONSTITUTE 5.00% OF THE PAID-UP EQUITY SHARE CAPITAL OF OUR COMPANY AND THE NET OFFER SHALL CONSTITUTE 4.90% OF THE PAID-UP EQUITY SHARE CAPITAL OF OUR COMPANY.

THE PRICE BAND, THE MINIMUM BID LOT AND THE RUPEE AMOUNT OF THE RETAIL DISCOUNT AND EMPLOYEE DISCOUNT WILL BE DECIDED BY THE SELLING SHAREHOLDER IN CONSULTATION WITH THE COMPANY AND THE BOOK RUNNING LEAD MANAGERS AND ADVERTISED IN THE FOLLOWING NEWSPAPERS : INDIAN EXPRESS (ALL EDITIONS), FINANCIAL EXPRESS (ALL EDITIONS), NEW INDIAN EXPRESS (ALL EDITIONS) AND JANSATTA (ALL EDITIONS) AT LEAST ONE WORKING DAY PRIOR TO THE OFFER OPENING DATE, WITH THE RELEVANT FINANCIAL RATIOS CALCULATED AT THE FLOOR PRICE AND AT THE CAP PRICE

THE FACE VALUE OF THE EQUITY SHARES IS ₹ 5 EACH.

Discount of ₹ [●] and ₹ [●] to the Offer Price is being offered to the Retail Individual Bidders ("Retail Discount**") and Eligible Employees Bidding in the Employee Reservation Portion ("**Employee Discount**") respectively.*

In case of revision in the Price Band, the Offer Period will be extended for at least three additional Working Days after the revision of the Price Band subject to the Offer Period not exceeding 10 Working Days. Any revision in the Price Band and the revised Offer Period will be widely disseminated by notification to the Self Certified Syndicate Banks ("**SCSBs**"), the Bombay Stock Exchange Limited (the "**BSE**") and the National Stock Exchange of India Limited (the "**NSE**"), by issuing a press release, and also by indicating the change on the websites of the Book Running Lead Managers ("**BRLMs**") and at the terminals of the members of the Syndicate.

This Offer is being made through the Book Building Process where up to 50% of the Net Offer will be allocated on a proportionate basis to Qualified Institutional Buyers ("**QIBs**") ("**QIB Portion**"). Further, 5% of the QIB Portion will be available for allocation on a proportionate basis to Mutual Funds only. The remainder will be available for allocation on a proportionate basis to QIBs and Mutual Funds, subject to valid Bids being received from them at or above the Offer Price. In addition, not less than 15% of the Net Offer will be available for allocation on a proportionate basis to Non-Institutional Bidders and not less than 35% of the Net Offer will be available for allocation on a proportionate basis to Retail Individual Bidders, subject to valid Bids being received at or above the Offer Price. Further, 8,553,168 Equity Shares shall be available for allocation on a proportionate basis to the Eligible Employees, subject to valid Bids being received from them at or above the Offer Price. Retail Individual Bidders and Eligible Employees bidding in the Employee Reservation Portion have an option to participate in the Offer either through the Bid cum Application Form or the ASBA Form. QIBs and Non Institutional Bidders must Bid through the ASBA process on a mandatory basis if they wish to participate in the Offer. ASBA Bidders may participate in this Offer by providing the details of the ASBA Accounts in which the corresponding Payment Amounts will be blocked by the SCSBs. For more information, please see "Offer Procedure" on page 510.

GENERAL RISKS

Investments in equity and equity-related securities involve a degree of risk and Bidders should not invest any funds in this Offer unless they can afford to take the risk of losing their investment. Bidders are advised to read the Risk Factors carefully before making an investment decision in this Offer. For making an investment decision, Bidders must rely on their own examination of our Company and this Offer, including the risks involved. The Equity Shares offered in this Offer have not been recommended or approved by the Securities and Exchange Board of India ("**SEBI**"), nor does SEBI guarantee the accuracy or adequacy of this Red Herring Prospectus. This being a fast track issue under Regulation 10 of the SEBI (Issue of Capital and Disclosure Requirements) Regulations, 2009, as amended from time to time ("**SEBI ICDR Regulations**"), our Company has filed the Red Herring Prospectus with the Registrar of Companies, National Capital Territory of Delhi and Haryana ("**RoC**") with a copy to SEBI and the Stock Exchanges. The attention of Bidders is invited to "Risk Factors" on page 20.

THE COMPANY'S AND THE SELLING SHAREHOLDER'S ABSOLUTE RESPONSIBILITY

Our Company and the Selling Shareholder, having made all reasonable inquiries, accept responsibility for and confirm that this Red Herring Prospectus contains all information with regard to the Company, the Selling Shareholder and this Offer which is material in the context of this Offer, that the information contained in this Red Herring Prospectus is true and correct in all material aspects and is not misleading in any material respect, that the opinions and intentions expressed herein are honestly held and that there are no other facts, the omission of which makes this Red Herring Prospectus as a whole or any of such information or the expression of any such opinions or intentions misleading in any material respect.

LISTING

The Equity Shares are listed on the BSE and the NSE. The BSE is the Designated Stock Exchange for the Offer.

BOOK RUNNING LEAD MANAGERS

JM Financial Consultants Private Limited
141, Maker Chambers III,
Nariman Point, Mumbai 400 021,
Maharashtra, India
Telephone: +91 (22) 6630 3030
Facsimile: +91 (22) 2204 7185
Email: ongc.fpo@jmfinancial.in
Investor Grievance Id.: grievance.ibd@jmfinancial.in
Website: www.jmfinancial.in
Contact Person: Ms. Lakshmi Lakshmanan
SEBI Registration No.: INM000010361

Citigroup Global Markets India Private Limited
12th Floor, Bakhtawar, Nariman Point,
Mumbai 400 021, Maharashtra, India
Telephone: +91 (22) 6631 9890
Facsimile: +91 (22) 6646 8366
Email: ongc.fpo@citi.com
Investor Grievance Id.: investors.cgmib@citi.com
Website: www.citibank.co.in; http://
www.online.citibank.co.in/rhtm/citigroupglobalscreen1.htm
Contact Person: Mr. Shashank Pandey
SEBI Registration No.: INM000010718

DSP Merrill Lynch Limited
B- Floor, Mafatlal Centre,
Nariman Point, Mumbai 400 021,
Maharashtra, India
Telephone: +91 (22) 6632 8000
Facsimile: +91 (22) 2204 8518
Email: ongc.fpo@dml.com
Investor Grievance Id.: india_merchantbanking@ml.com
Website: www.dspml.com
Contact Person: Mr. N S Shekhar
SEBI Registration No.: INM000011625

HSBC Securities and Capital Markets (India) Private Limited
HSBC Building, 52/ 60 M.G. Road,
Fort, Mumbai 400 001, Maharashtra, India
Telephone: +91 (22) 2268 5555
Facsimile: +91 (22) 2263 1984
E-mail: ongcfpo@hsbc.co.in
Investor Grievance Id.: investorgrievance@hsbc.co.in
Website: http://www.hsbc.co.in/1/2/corporate/equities-global-investment-banking
Contact Person: Mr. Gaurav Shimpi
SEBI registration No.: INM000010353

Morgan Stanley India Company Private Limited
18F/19F, One Indiabulls Centre,
Tower 2, 841 Senapati Bapat Marg,
Mumbai 400 013, Maharashtra, India
Telephone: +91 (22) 6118 1000
Facsimile: +91 (22) 6118 1040
Email: ongc_fpo@morganstanley.com
Investor Grievance Id.: investor_india@morganstanley.com
Website: http://www.morganstanley.com/indiaofferdocuments
Contact Person: Ms. Mayuri Gupta
SEBI Registration No.: INM000011203

Nomura Financial Advisory & Securities (India) Private Limited
Ceejay House, Level 11, Dr. Annie Besant Road,
Worli, Mumbai 400 018, Maharashtra, India
Telephone: +91 (22) 4037 4037
Facsimile: +91 (22) 4037 4111
E-mail: ongc.fpo-in@nomura.com
Investor Grievance Id.: investorgrievances-in@nomura.com
Website: http://www.nomura.com/asia/services/capital_raising/equity.shtml
Contact Person: Ms. Nisha Khetan
SEBI Registration No: INM000011419

REGISTRAR TO THE OFFER

Link Intime India Private Limited
C-13, Pannalal Silk Mills Compound,
L.B.S. Marg, Bhandup (West),
Mumbai 400 078, Maharashtra, India
Telephone: +91 (22) 2596 0320
Facsimile: +91 (22) 2596 0329
E-mail: ongc.fpo@linkintime.co.in
Website: www.linkintime.co.in
Contact Person: Mr. Sachin Achar
SEBI Registration No.: INR000004058

OFFER PROGRAMME

OFFER OPENS ON : SEPTEMBER 20, 2011	**OFFER CLOSES ON (FOR QIB BIDDERS) : SEPTEMBER 22, 2011**
	OFFER CLOSES ON (FOR ALL OTHER BIDDERS) : SEPTEMBER 23, 2011

Source: https://www.sebi.gov.in/sebi_data/attachdocs/1315392214565.pdf